

Electronic Components Taiyo Yuden (6976)**Rating: Buy****Price Objective: ¥6,000****Company to hike prices in May according to Taiwanese media**

Company Note
Share price: ¥5,847 (15 Apr)
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Taiyo Yuden's reported plans to hike prices in May, according to Taiwanese media outlet *Liberty Times* and social media on 15 April, caused the company's stock to end the day up almost 11% to a new YTD high. We think the stock will remain strong for now on ongoing expectations for earnings to improve as the demand environment for high-end multi-layer ceramic capacitors is likely strong due to the expansion of AI servers. While we will likely not have any details until the FY3/26 results announcement on 8 May, this also means expectations will likely remain intact.

In our opinion, the recent media reports about price hikes could lift expectations for earnings to improve not only for Taiyo Yuden but also passive component manufacturers. Indeed, on 15 April, stocks did comparatively well for Murata Mfg., aluminum electrolytic capacitor stocks, and resistor stocks.

The following are our key takeaways from the reporting. 1) In May, prices are reportedly set to rise for some products, such as multi-layer ceramic capacitors, inductors, communication devices, and aluminum electrolytic capacitors (subsidiary Elna). 2) The hike is meant to address a surge in prices for metal materials that began last year, not a tighter supply-demand balance. 3) The price increase is for some, but not all, products. We believe management feels that the supply-demand balance has improved.

While we do not have details at this juncture, if prices rise as reported, we think that profits may change given the company's profit margin (just over 8% in 3Q). We are watching for more details at the company's FY3/26 results conference

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